NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 19.08.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA)No.7/230/AMR/2022		230	Sri Sai Krishna Cotspin Private Limited Sri Sindhuri Cold Storage Private Limited Sri Sai Pratima Warehouses Private Limited

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA)No.7/230/AMR/2022 is allowed, vide separate orders.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA) No.7/230/AMR/2022
Connected with
CA (CAA) No.1/230/AMR/2022

In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation of **SRI SAI KRISHNA COTSPIN PRIVATE LIMITED**, the Demerged Company (having its registered office in Andhra Pradesh) by **SRI SINDHURI COLD STORAGE PRIVATE LIMITED**, the Resulting Company-1 (having its registered office in Andhra Pradesh) and **SRI SAI PRATHIMA WAREHOUSES PRIVATE LIMITED**, the Resulting Company-2 (having its registered office in Andhra Pradesh).

In the matter of

1. Sri Sai Krishna Cotspin Private Limited,
   Registered office at Flat No.39 & 42,
   Walcot Daba, Industrial Estate,
   Walcot Daba Nagar, NH-5,
   Guntur-522003, Andhra Pradesh.
   ... Petitioner/Demerged Company

2. Sri Sindhuri Cold Storage Private Limited,
   Registered office at 4-19-25, 4th lane,
   Vikas Nagar, Guntur-522006,
   Andhra Pradesh.
   ... Petitioner/Resulting Company-1

3. Sri Sai Prathima Warehouses Private Limited,
   Registered office at F.No.6,
   Saikrishna Residency, 4/1, Vidya Nagar,
   Guntur-522006, Andhra Pradesh.
   ... Petitioner/Resulting Company-2

Date of pronouncement of order: 19.08.2022

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

For the Petitioners: Mr. Naresh Kumar Sangam, Advocate

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Petition is filed by M/s. Sri Sai Krishna Cotspin Private Limited (Demerged Company), M/s. Sri Sindhuri Cold Storage Private Limited (Resulting Company-1) and M/s. Sri Sai Prathima Warehouses Private Limited (Resulting Company-2) under Sections 230 & 232 of the Companies Act, 2013 seeking to permit the Demerged Company for Scheme of Arrangement (the Scheme for short) with the Resulting Company. The Petitioner Companies' registered offices are situated at Andhra Pradesh.

2. Briefly the facts are as follows:

   i. The Authorised Share Capital of the Petitioner/Demerged Company is Rs.10,00,000/- divided into 1,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.5,00,000/- divided into 50,000 equity shares of Rs.10/- each.

The main objects of the Demerged Company are to carry on the business of cotton spinners and doublers, flex, hemp, jute and wool merchants, wool combers, worsted spinners, ginners, yarn merchants, Worsted stuff manufacturers, hosieries, manufacturers of cotton bandings and hospitals requisites, bleachers or dyers and making of vitriol bleaching and dyeing materials and to purchase, comb, prepare spindle and weave or otherwise manufacture, buy and sell and deal in linen, cloth, artificial silk, mercerized yarn and cotton and other goods, hosiery and fabrics, whether textile, felted, knitted or looped etc.

ii. The Authorised Share Capital of the Resulting Company-1 is Rs.15,00,000/- divided into 1,50,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.1,00,000/- divided into 10,000 equity shares of Rs.10/- each. The main objects of Resulting Company-1 are to construct, build, equip, own and maintain and to carry on business as keepers of cold storage, storage chambers, ice plants, godowns, warehouses, refrigerators, freezing houses and room coolers for storing agricultural commodities like chillies, tamarind, turmeric, seafoods, marine foods, poultry products, protein food, dairy products, fruits, vegetables or other substances made from all or any of them and canned, tinned and processed foods of every description etc.

iii. The Authorised Share Capital of the Resulting Company-2 is Rs.15,00,000/- divided into 1,50,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.1,00,000/- divided into 10,000 equity shares of Rs.10/- each. The main objects of Resulting Company-2 are to construct, build, equip, own maintain and to carry on business as keepers of cold storage, storage chambers, ice plants, godowns, warehouses, refrigerators, freezing houses and room coolers for storing all type of good/commodities including agricultural commodities like chillies, paddy, tamarind, turmeric, seafoods, marine foods, poultry products, protein foods, dairy products, fruits, vegetables etc.

iv. Benefits of the Scheme are the demerged business and remaining business carried on by Demerged Company have significant potential for growth. The nature of risk and competition involved in each of these units are distinct from other and consequently Demerged Business and remaining business are capable of attracting a different set of business leaders, employees, investors, strategic partners, lenders and other stakeholders. The Board of Directors of the Demerged Company felt that the Demerged Business and remaining business should be bifurcated and should have independent entities for each undertaking. All the liabilities and obligations attributed to the Warehousing

Division of the demerged business of the Demerged Company, including its Secured/unsecured loans, taken over by the Resulting Company-2, may be discharged by the Resulting Company-2 by way of one-time settlement or in any other manner, as the Resulting Company-2 deem fit. The outstanding unsecured loans of the Cold Storage Division of the demerged business of the Demerged Company and payable to the related parties as on the appointed date shall become the outstanding unsecured loans of the Resulting Company-2.

v. The Board of Directors of the Petitioner Companies approved their scheme at their respective board meetings held on 31.01.2022. The appointment date is 01.12.2021. Consent, by way of Affidavit and No Objection to the Scheme supported by Board, was also obtained from all the Shareholders and Unsecured Creditors of the Petitioner Companies.

vi. The Tribunal by order dated 13.04.2022 dispensed with the requirement of holding meetings of all Equity Shareholders and Unsecured Creditors of the Petitioner Companies. The scheme of arrangement was approved by the board of directors and others.

3. Heard the Learned Counsel appearing for the Petitioner and RD and perused the records.

4. The Regional Director (RD) filed his report dated 01.08.2022 and raised the following objections and the Petitioner Company replied to the same as detailed below:

S.No.	RD's Observations	Reply given by the Petitioner Companies dated 17.08.2022
1	The Directorate has received letter dated 23.06.2022 from the ROC, Andhra Pradesh by pointing out certain observations as under:- a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to preserve its books of accounts and papers and records and shall not be disposed of without the prior permission of the Central Government in terms of Section 239 of	Reply given by the Petitioner Companies: As per Section 232(6) of the Companies Act, 2013, the Company must indicate the appointed date in the Scheme. Further the ministry of Corporate Affairs vide General Circular No.9/2019 dated 21.08.2019 has clarified that appointed could be any specific calendar date or may be tied to occurrence of event. The only condition in case a specific date is chosen as

	the Companies Act, 2013.	appointed and such date precedes more than one year from the date of filing then same shall be specifically brought out in the scheme.
	b) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	
	c) The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies, involved in the scheme to comply with Rule 17(2) of Companies (Compromise, Arrangement and	

	Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of RoC by the Petitioner Companies.	
	d) The Regional Director (RD) sought this Tribunal to direct the Petitioner Transferee Company to file an application with RoC indicating the revised authorised capital and proof of paying prescribed fees due on revised capital after setting of that fee already paid by Demerged Company.	

2	The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to change the appointed date from 01.12.2021 to 01.04.2021 or 01.04.2022 and accordingly amend the clause in the proposed scheme and file the amended copy of the scheme, duly certified by the Directors of the respective Companies.	
3	The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to furnish an undertaking that as and when the demand arises from the Income Tax Department, Petitioner Companies are ready to pay the dues.	

5. The Regional Director (RD), after considering the said reply by the Petitioner, did not raise any further objection.

6. Considering the entire facts and circumstances of the case and on perusal of the Scheme, report of the Regional Director and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Arrangement appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

7. The Company Petition is allowed with the following directions:-

   a) The Scheme of Arrangement (Copy of the Scheme enclosed at Page No.144 to 171 of the Petition) is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

   b) The Scheme shall become effective from the Appointed Date i.e., 01.12.2021 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

   c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if

payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Arrangement, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Arrangement under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

8. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.7/230/AMR/2022 stands disposed of.

Sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu